



ECONOMIC AND FINANCIAL COMMITTEE

**Model United Nations
Conference - Global**

FROM THE COMMITTEE BUREAU

Distinguished Delegates,

The Economic and Financial Committee bureau welcomes delegates to MUNCGLOBAL's flagship conference in Ghana, MUNC-GH.

This Background Guide focuses on the economic and regulatory challenges posed by AI, automation and crypto-assets, and aims to equip you with the context needed to draft practical, finance-friendly policy responses. Delegates are invited to join the Economic and Financial Committee in tackling the rapid transformations in the global economy driven by artificial intelligence (AI), automation, and cryptocurrency.

These technologies offer opportunities for growth and innovation, but they also pose risks to jobs, markets and financial systems. The ECOFIN bureau encourages delegates to explore balanced policies that harness AI and automation to boost productivity while protecting workers and vulnerable economies. Likewise, delegates should consider robust regulation of cryptocurrencies and stable coins to prevent financial instability.

Please review the guide carefully: it contains key facts, existing policy frameworks, and suggested lines of inquiry to help your delegation negotiate balanced solutions that protect financial stability while enabling innovation. If you require clarification, contact the committee bureau. We look forward to your constructive proposals and collaborative spirit.

TOPIC BACKGROUND

Emerging technologies are reshaping economies worldwide. AI and automation are transforming industries from manufacturing to services. Current estimates suggest **AI could affect almost 40% of jobs globally**, replacing some tasks and augmenting others. Advanced economies are especially exposed: roughly 60% of jobs there may be impacted by AI. While AI promises productivity gains, it may also widen income gaps if higher-skilled workers benefit disproportionately. Automation and AI can increase output and efficiency, but they “**could also replace jobs and deepen inequality**” if social safety nets and retraining programs are insufficient. Delegates should consider policies such as lifelong learning and social protections to make this technological transition equitable.

Cryptocurrencies and Stable coins: Cryptocurrency markets have grown rapidly, but they remain volatile and largely unregulated. Large swings in crypto prices (like Bitcoin’s) can impact investor confidence and even spill into traditional finance. In 2022, the Financial Stability Board (FSB) warned that crypto-assets “could reach a point where they represent a threat to global financial stability due to their scale, structural vulnerabilities and increasing interconnectedness with the traditional financial system”. **Global stable coins** (crypto-assets pegged to fiat money) pose particular challenges: a widely-used stable coin could become systemically important. The FSB has issued high-level recommendations to ensure consistent regulation of stable coins and crypto to address these risks.

Risks and Opportunities in Finance: Technological innovation can also affect capital markets. For example, AI-driven algorithmic trading may deepen market liquidity and improve risk management, but it can also amplify volatility and create new forms of fraud or cyber-risk.

An IMF report notes that AI “**may reduce some financial stability risks by enabling superior risk management**” but also warns of new challenges like faster, more complex markets and concentrated third-party providers. Similarly, the FSB notes that while AI in finance can boost efficiency and compliance, it could amplify vulnerabilities (e.g. over-reliance on a few AI vendors, model failures, and cyberattacks) that potentially threaten systemic stability.

Delegates should analyze these trade-offs. The goal is to craft policies that encourage beneficial innovation in finance and industry while updating regulatory frameworks. Ideas may include international coordination on AI governance in financial markets, guidelines for ethical AI use, improved data sharing, and global standards for cryptocurrency oversight. Effective solutions will likely involve a combination of national regulation and international agreements to preserve global financial stability.

COMMITTEE BACKGROUND

The Economic and Financial Committee (commonly called ECOFIN, UNGA Second Committee) is one of the six main committees of the UN General Assembly. It **handles global macroeconomic and development issues**, such as international trade, development finance, debt, and sustainable development. In practice, ECOFIN develops recommendations on financial stability, economic growth, and development questions. It also addresses special situations faced by groups of countries (e.g. Least Developed Countries, Small Island States) and the follow-up to major UN economic summits.

Historically, ECOFIN has tackled topics like funding for development, financial crisis responses, and technology in development. The committee prepares reports and draft resolutions for the General Assembly, and may request UN expert studies. Your task is similar: build consensus through debate and draft workable resolutions. While this crisis combines tech and economy, ECOFIN's broad mandate on economic policy and finance makes it the ideal forum. Delegates are to represent their countries' economic and financial priorities. Delegates should research national positions on digital innovation, labor markets, financial regulation and cryptocurrency. Consider how existing international initiatives (e.g. G20 crypto principles, OECD AI frameworks, or Basel III banking standards) relate to UN action. Delegations will draw on UN data (IMF, World Bank, BIS) and regional policy to support their arguments. The committee will seek balanced solutions that promote **global financial stability** and inclusive growth.

COMMITTEE STRUCTURE

ECOFIN consists of all UN Member States (193 countries). Sessions are chaired by an elected Bureau (Chair, Vice-Chairs, Rapporteur). Debates typically include an opening statements round, moderated caucuses, and informal negotiations. Delegates are encouraged to form blocs to draft working and resolution papers.

Important sub-items may include: international regulatory frameworks for AI and crypto; coordination on automation's labor impact; and financial assistance for tech adaptation. The committee will follow standard GA rules of procedure. Draft resolutions must pass by majority vote. Delegates should collaborate across regions, but also be prepared to negotiate compromises (for example, rich countries may lead on technology investment, while developing countries emphasize capacity-building and protecting vulnerable workers).

ECOFIN's work ultimately results in resolutions or reports submitted to the General Assembly plenary. Your goal is to craft a pragmatic, forward-looking resolution. Keep an eye on clarity and supportable policy proposals. Delegates may consider creating sub-committees or expert groups to delve into complex areas (e.g. one group on AI regulation, another on crypto oversight) before merging ideas into formal text. Remember that ECOFIN is solutions-oriented: aim for concrete actions (funds, standards, cooperation mechanisms) that uphold financial stability and support socio-economic development.